Market Entry (Cavusgil 13–15)

WU VIENNA

International Summer University[WU] 2026

Dr. Arne Floh · Department of Global Trade, WU Vienna

Learning objectives

- Frame the two core **market-entry decisions**: **which markets** to enter and **which mode** to use.
- Compare entry modes on **control, risk, commitment and flexibility** — the export → intermediate → hierarchical ladder.
- Understand **exporting** and its mechanics (intermediaries, Incoterms, payment, countertrade).
- Understand **contractual / intermediate** modes — licensing, franchising, alliances — and how to protect intellectual property.
- Understand **FDI and hierarchical** modes — motives, greenfield vs. M&A, ownership and integration.
- Connect entry to **global sourcing, supply chains** and, when needed, **exit**.

Opening activity: get an Austrian SME abroad

IN-CLASS OPENER · 12 MINUTES · PAIRS — INSTINCT FIRST, FRAMEWORK LATER

Objective: make a real market-entry call on instinct, then test it against today's framework.

1. Take a Viennese SME — e.g. **Manner** (wafers), **Blaguss** (travel), a craft-gin distiller or a med-tech start-up.
2. Pick **one foreign market** to enter — and **one way in** (export? license? franchise? joint venture? build your own operation?).
3. Write down **why** that mode: how much **control** do you need, how much **risk** can you carry, how much can you **invest**?
4. Keep your answer — at the end of the session you will re-decide with the full toolkit.

Two decisions, one strategy

- Foreign market entry is really **two linked decisions**: **WHERE** to compete (which country markets) and **HOW** to enter each one (the entry mode).
- **Which markets?** Screen and rank countries on **market attractiveness** and the firm’s **competitive strength** (Hollensen’s MACS logic).
- **Which mode?** Trade off **control, risk, resource commitment and flexibility** — the ladder from exporting to wholly owned operations.
- The two decisions interact: a highly attractive market where the firm is strong justifies a high-commitment mode; a risky or uncertain one argues for a low-commitment entry.

Which mode? The control–commitment ladder

high control · high risk · high commitment · low flexibility

Hierarchical modes

sales subsidiary · wholly owned FDI

the firm owns the operation abroad

Intermediate modes

licensing · franchising · JV / alliance

shared control with a partner

Export modes

indirect · direct · cooperative

production stays home, sell abroad

low control · low risk · low commitment · high flexibility

As the firm climbs from export to intermediate to hierarchical modes it gains control and market presence — but takes on more risk, cost and less flexibility. Source: Hollensen, Global Marketing; Cavusgil et al., International Business.

What drives the mode choice?

- **Internal factors:** firm size and resources · international experience · the product (complex, service, IP-heavy?) · desired degree of control.
- **External factors:** market size and growth · country risk (political, legal, cultural) · trade barriers and government rules · intensity of competition.
- **Desired mode characteristics:** how much **risk-averseness**, need for **control**, and **flexibility** the firm wants.
- **Transaction-specific factors:** the risk of a partner appropriating the firm's **know-how** — high tacit-knowledge or brand value pushes toward higher-control modes.
- *No single best mode: the right entry matches firm, product, market and the firm's appetite for control and risk.*

Exporting: the usual first step

- **Exporting:** producing at home (or a third country) and selling into foreign markets — usually the firm's **first** entry strategy: low risk, low cost, flexible. Popular with SMEs.
- **Advantages:** grow sales and market share · better margins and economies of scale · diversify across markets · a low-commitment way to learn.
- **Disadvantages:** less learning about customers and rivals than FDI · needs new capabilities (contracts, logistics, finance) · exposed to **tariffs, trade barriers and exchange-rate** swings · reliance on intermediaries.
- Services are exported too — architecture, education, banking, entertainment — but many services need local presence (retailing → FDI).

Working through export intermediaries

- **Foreign distributor:** based in the market, takes **title** to the goods, resells and services them — the exporter's most common partner.
- **Manufacturer's representative / agent:** sells on commission but does **not** take title; **trading companies** handle many products and markets.
- The exporter depends on intermediaries for marketing, distribution and service — so **cultivate the relationship**: support them, respond to their needs, show commitment.
- Common disputes: **compensation, pricing, advertising support, inventory and who owns the customer** — settle them in the contract up front.

Getting paid: Incoterms and methods of payment

Payment method	How it works	Risk
Cash in advance	Buyer pays before shipment	Safest for the exporter — but hard to win buyers
Letter of credit	A bank guarantees payment once shipping documents are presented	Low risk for both — the workhorse of trade finance
Documentary collection	Bank handles documents; payment on sight or on a set date	Medium — bank handles papers, not a guarantee
Open account	Ship first, buyer pays later (e.g. 30–90 days)	Riskiest for the exporter — used with trusted buyers

Incoterms (ICC) split the cost and risk of freight, insurance and customs between buyer and seller — e.g. EXW (buyer bears almost all), FOB (seller to the ship's rail), CIF (seller pays cost, insurance, freight), DDP (seller delivers duty-paid). A letter of credit is the classic way to bridge trust across borders.

Countertrade: paying in kind

- **Countertrade:** an international deal in which all or part of the payment is made **in goods rather than cash** — a modern form of barter. Used where hard currency is scarce, costly or restricted.
- Estimated at roughly **10%–one third of world trade**, concentrated in emerging and resource economies.
- Forms: **barter** (goods for goods) · **compensation deal** (goods + cash) · **counterpurchase** (two linked contracts) · **buy-back** (paid in the output of the plant you sold).
- **Example:** PepsiCo famously sold syrup to the USSR in exchange for Stolichnaya vodka — cola paid for in vodka.

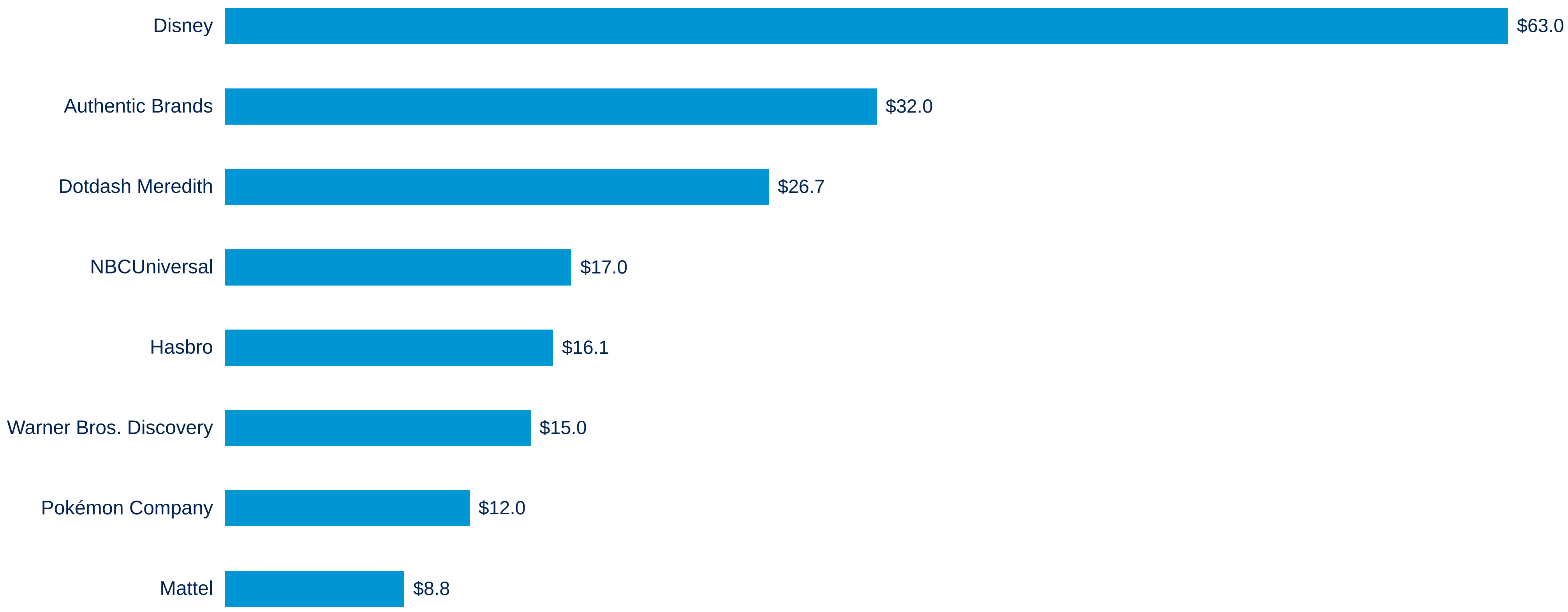
Contractual (intermediate) modes: sharing control

- **Contractual entry:** a cross-border relationship governed by a **contract**, giving the firm a **moderate** level of control and usually exchanging **intangibles** — intellectual property, technology, know-how, a business system.
- **Licensing:** the owner of IP grants another firm the right to use it for a period, for a **royalty** (typically 2–5% of gross sales) plus an upfront fee.
- **Franchising:** the firm grants another the right to use an **entire business system** — more comprehensive and longer-term than licensing.
- These modes reduce the perception of being a foreign firm, generate **steadier** earnings than FDI, and can be combined with exporting or FDI as conditions evolve.

Licensing: advantages and the key risk

- A **licensor** (owner) grants a **licensee** (user) the right to make or sell using its IP. Types: **trademark** (Disney characters on apparel), **copyright** (Harry Potter images), **know-how** (Intel’s chip process).
- Worldwide retail sales of **licensed merchandise exceed US$340 billion** a year (LIMA). Disney alone earns tens of billions in licensing.
- **Advantages for the licensor:** low investment, low involvement, low effort once set up — a cheap, fast way into a market.
- **Disadvantages:** performance depends on the licensee · **limited control** over the asset abroad · and the ever-present risk of **creating a future competitor**.
- **Example:** Anheuser-Busch’s Budweiser is brewed in Japan by Kirin under licence; Nestlé’s Kit Kat is made in the US by Hershey under licence.

Leading licensors by retail sales of licensed products (US$ bn)



Retail sales of licensed products, 2024. Global licensed-product retail sales reached a record US$369.6 bn in 2024 (+3.7%); Disney is the world's #1 licensor. Source: Licensing International, 2025 Global Licensing Industry Study; License Global.

Franchising: the business-in-a-box

- **Business-format franchising:** the franchisor transfers a **whole business method** — brand, products, processes, training and standards — to the franchisee, for fees and royalties.
- A **master franchisee** is authorized to develop and manage the entire network in a market (e.g. McDonald’s master franchisees).
- **Advantages for the franchisor:** low investment · **rapid** internationalization to many markets · low effort once set up · leverages franchisees’ local knowledge.
- **Disadvantages:** hard to maintain **control and consistency** across many franchisees · limited control over assets abroad · risk of creating a future competitor.
- In emerging markets, franchisors must weigh income levels, urbanization, fast-changing laws and **food/culture fit** — KFC and Pizza Hut are huge in China; menus are localized.

Leading international franchises

Franchise	Type	Outlets (approx.)	Countries
Mixue (China)	Bubble tea & ice cream	~45,000	10+
7-Eleven	Convenience stores	~84,000	19
McDonald’s	Burger restaurants	~44,000	100+
Subway	Sandwich restaurants	~40,000	100+
KFC (Yum!)	Chicken restaurants	~30,000	150
Domino’s	Pizza	~21,000	90+
Pizza Hut (Yum!)	Pizza	~19,000	100+

Approximate global unit counts, 2024–25. Franchising scales a brand across borders fast on other people’s capital — but formats are localized (KFC in China, McAloo Tikki in India). Note the newcomer: China’s Mixue has overtaken McDonald’s and Starbucks by store count. Sources: company reports; Franchise Times / Vettedbiz rankings.

Other contractual modes — and Yum!

- **Turnkey contracting:** the firm designs, finances, builds and hands over a complete facility — metros, airports, gas plants. The Petronas Twin Towers were a 7-year turnkey project.
- **Management contract:** supply the **management know-how** to run a hotel, hospital or airport for a fee (e.g. Marriott, Hilton run hotels they don't own).
- **International leasing:** rent out machinery or aircraft to foreign clients for years at a time.
- **Example — Yum! Brands:** ~53,000 outlets worldwide (KFC, Pizza Hut, Taco Bell), mostly franchised; in 2016 it spun off **Yum China**, now the country's largest restaurant company.

Joint ventures and strategic alliances

- An **international collaborative venture** pools two or more firms’ resources to share cost and risk — it spans **equity joint ventures** and non-equity, **project-based** alliances.
- **Equity JV:** partners create a **new jointly-owned company** — used when no single party has all the assets; the local partner brings market access, the foreign partner technology or brand.
- **Project-based / non-equity alliance:** a narrow scope and fixed timetable, **no new legal entity** — e.g. a consortium (Airbus-style) or a cross-licensing deal.
- **Reality check:** about **half** of global collaborative ventures fail within five years — from culture clashes, unclear goals and weak governance. Success needs common goals, cultural awareness and disciplined management.

Protecting intellectual property

- Contractual modes hand your IP to a partner — so **protecting it is the whole game**. Counterfeiting and piracy of traded goods exceed **US$2 trillion** a year (OECD/ICC estimates).
- **Key treaties:** the **Paris** and **Berne** Conventions, and the WTO’s **TRIPS** agreement set minimum global IP standards — but enforcement varies widely by country.
- **Safeguards:** register core IP in your key markets · **separate value-chain steps** so no partner sees the whole process · favour hard-to-copy, leading-edge technology · choose reputable partners and write IP protection into contracts.
- **Example:** Coca-Cola licenses bottling worldwide but has **never** licensed the syrup formula — the crown-jewel IP stays in-house.

FDI and hierarchical modes: owning the operation

- **Foreign direct investment (FDI):** the firm establishes a **physical presence** abroad by acquiring productive assets — plants, subsidiaries, offices. The most advanced, costly and risky entry mode.
- **Key features:** a **substantial resource commitment** · local presence and operations · **substantial risk and uncertainty** · and the **highest control** and profit potential.
- Hollensen’s **hierarchical** modes are the FDI family — from a **sales/marketing subsidiary**, through assembly, to a **wholly owned production subsidiary** or acquisition.
- Undertaken by firms from advanced **and** emerging economies — and occasionally stirs patriotic pushback (e.g. Dubai Ports, Huawei).

Why firms invest abroad: the FDI motives

VIENNA

Market-seeking

Reach or grow in a large/attractive market · follow key customers abroad · compete with rivals on their home turf

Resource / asset-seeking

Secure raw materials · gain knowledge, brands or technology (Whirlpool–Philips) · tap local talent and know-how

Efficiency-seeking

Cut cost via cheap labour and inputs · locate near customers · use government incentives · jump trade barriers

Strategic-asset-seeking

Acquire capabilities the firm lacks — brands, R&D, distribution — often via cross-border M&A

Dunning's four motives, as used in Cavusgil et al. — most efficiency-seeking FDI is about accessing cheaper inputs; most market-seeking FDI is about being close to demand.

Greenfield investment vs. mergers & acquisitions

Greenfield — build new

- Build a brand-new plant / subsidiary from scratch
- Full control of design, technology, location and culture
- Create new capacity and local jobs — governments love it
- Slow; must build market presence and supplier links from zero

M&A — buy existing

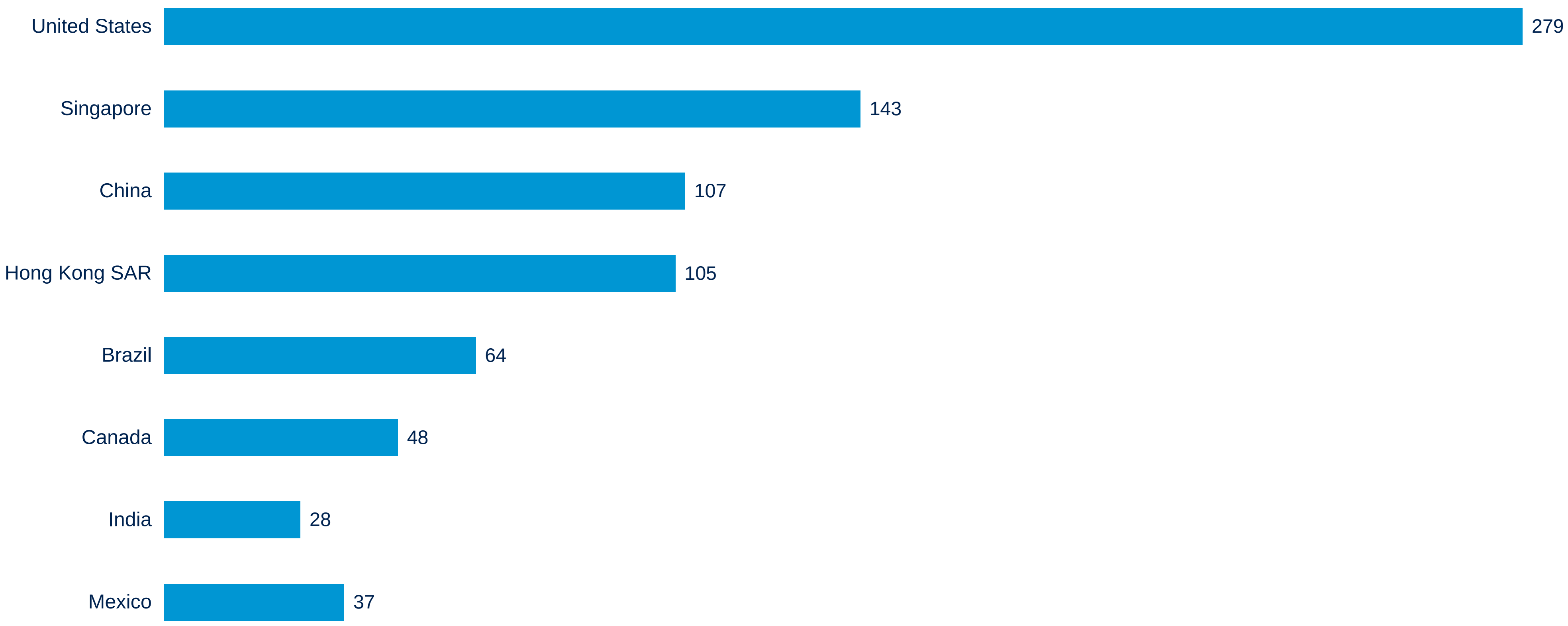
- Acquire (or merge with) an existing local company
- **Fast** market access, brands, customers and staff
- Adds no new capacity; integration and culture clashes are common
- Can trigger political and regulatory scrutiny

Cross-border M&A and greenfield each account for a large share of global FDI; M&A dominates in advanced economies, greenfield in emerging ones. Example: Lenovo bought IBM's PC unit (M&A); BMW built a greenfield plant in Spartanburg, USA.

Ownership and level of integration

- **Wholly owned direct investment:** the investor **fully owns** the foreign assets — maximum control and profit, maximum risk and commitment.
- **Equity joint venture:** partial ownership shared with a partner — less control, but shared risk and local access (bridges to the intermediate modes).
- **Horizontal FDI:** own the **same** value-chain stage abroad as at home — e.g. Toyota building cars in several countries (market-seeking).
- **Vertical FDI:** own **different** stages up- or down-stream — e.g. an oil major owning wells, refineries and filling stations (resource- and efficiency-seeking).

Leading destinations for FDI inflows, 2024 (US$ bn)



FDI inflows, 2024. Global FDI was ~US$1.5 tn but — stripping out volatile conduit flows — productive FDI fell for a second year. The US stays the top destination; Asian hubs dominate the rest. Figures beyond the US and China anchors are approximate. Source: UNCTAD, World Investment Report 2025.

A hard case: retailer internationalization — Walmart

- Retailers usually internationalize via **FDI and collaborative ventures** — and face steep **barriers**: consumer loyalty to local chains, culture and language, idiosyncratic laws (store hours, zoning), and the need to build **local supply**.
- **Walmart's mixed record: Germany** — misread the market and local competition, exited in 2006. **Mexico** — built US-style parking lots, but many shoppers had no cars. **Brazil** — aisles too narrow for the payday rush. **Argentina** — US-flag colours offended local taste.
- **What works (success factors):** deep advance research (Carrefour spent 12 years in Taiwan) · build local logistics and sourcing · an entrepreneurial approach · and **adapt the model** (Home Depot in Mexico offers smaller packs and flexible credit).
- **The lesson:** a high-control mode does **not** guarantee success — it must be paired with genuine local responsiveness.

The other side: global sourcing

- **Global sourcing:** procuring products or services from suppliers abroad for use at home or in a third country — the import side of the value chain (also called global outsourcing or procurement).
- Two key decisions: **(1) outsource or not?** — do an activity in-house or buy it from an independent supplier; **(2) where in the world?** — configure each value-chain activity in its best location.
- Forms: **contract manufacturing** (Foxconn builds the product to spec) · **business-process outsourcing (BPO)** (payroll, IT, call centres) · **offshoring** (relocating a process or plant abroad, often to your own subsidiary).
- **Example — the iPhone:** designed in California, with components sourced from suppliers in **~43 countries** (Apple’s network spans 50+), assembled mainly in China — and increasingly India and Vietnam. One product, a global sourcing map.
- **Benefits:** cost efficiency, access to talent and capacity, faster growth. **Risks:** lower-than-expected savings, quality and IP problems, exchange-rate and geopolitical exposure, and reputational risk.

Manufacturing labour cost per hour, selected countries (US$)

Total hourly manufacturing labour cost, approximate (various 2023–24 sources — no single authoritative series exists since US BLS discontinued its comparisons). The wage gap is the engine of global sourcing — but Chinese wages have climbed sharply, narrowing it and driving reshoring/nearshoring. Sources: Conference Board, KPMG, Statista, ILO compilations.

Reshoring, nearshoring and the supply chain

- China is still a top sourcing location, but **rising wages** (average manufacturing pay more than doubled 2013–2022, now above ~US$8/hour) have eroded its cost edge.
- **Reshoring:** bringing production back home; **nearshoring:** moving it closer — US firms shifting from China to **Mexico**, which overtook China as the top source of US imports in 2023–24. Reshoring + FDI announcements added ~**245,000 US jobs in 2024** (Reshoring Initiative).
- Drivers of the shift: rising wages, tariffs and geopolitics, long and fragile supply chains (COVID, Suez, Red Sea), and the pull of **speed and resilience** over pure cost.
- **Global supply-chain management** ties sourcing, production and distribution into one worldwide network. Logistics can be up to **40%** of total cost; firms lean on 3PL providers (DHL, UPS, FedEx, Maersk) and ICT to run it.

Moving the goods: transportation modes

Mode	Strengths	Best for
Ocean	Cheapest per tonne-km; huge capacity; containerized	Bulk, heavy, non-urgent goods — ~80% of world trade by volume
Air	Fast and reliable; low damage/theft	High-value, perishable or urgent goods — a small share of volume, large share of value
Land (rail & road)	Flexible; door-to-door; good for regional trade	Continental and last-mile movement; the new rail land-bridges Asia–Europe

Ocean transport is the backbone of international trade; air moves the value, not the volume; land links it together. The right mode balances cost, speed, reliability and the product's value-to-weight ratio.

The entry modes at a glance

Mode	Control	Risk / commitment	Speed & flexibility	Typical use
Exporting	Low	Low	High	First step; SMEs; test a market
Licensing	Low–moderate	Low	High	IP-rich firms; fast, cheap reach
Franchising	Moderate	Low–moderate	High	Replicable business systems; retail & food
Joint venture / alliance	Shared	Moderate	Moderate	Need a local partner’s assets or access
Wholly owned FDI	High	High	Low	Strategic markets; control of IP & quality

The through-line of the session: control, risk and commitment rise together as you climb the ladder — pick the lowest-commitment mode that still gives you the control the situation demands.

Apply it: choose the entry mode

WU VIENNA

IN-CLASS ACTIVITY · 15 MINUTES · SMALL GROUPS

Objective: use the full toolkit to choose and defend an entry mode — then compare it to your opening instinct.

1. Take one scenario: **(a)** a Styrian craft-gin maker entering Japan · **(b)** an Austrian med-tech firm entering the USA · **(c)** a Vienna coffee-house brand entering the Gulf.
2. Screen the market briefly (attractiveness × your strength) and pick a mode from the ladder.
3. Justify it on **control, risk, commitment and IP** — and name the single biggest risk of your choice.
4. Compare with your **opening-activity** answer: did the framework change your mind?
5. Two minutes per group; the class stress-tests each decision.

EQUIS ACCREDITED AACSB ACCREDITED ASSOCIATION AMBAS ACCREDITED

VIENNA UNIVERSITY OF ECONOMICS AND BUSINESS

DEPARTMENT OF GLOBAL TRADE
WU VIENNA

DR. ARNE FLOH

Senior Lecturer in International Marketing
Deputy Program Director MSc Export- and Internationalisation Management

arne.floh@wu.ac.at

Welthandelsplatz 1, 1020 Wien, Austria
www.wu.ac.at